

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 2010(I)

Simple Forwarding, Inc.

v.

CULines [sic]and Norton Lilly International

**VERIFIED FIRST MOTION OF
SPECIALLY APPEARING RESPONDENT C.U.LINES LIMITED
TO DISMISS THE COMPLAINT FOR LACK OF SERVICE OR JURISDICTION**

For the reasons more fully set out in the Memorandum in Support of Motion to Dismiss below, Specially Appearing Respondent C.U.LINES LIMITED (“Specially Appearing Respondent” or “CUL”) moves pursuant to 46 C.F.R. 502.69(g) and 46 C.F.R. 502.70 to dismiss the complaint (“Complaint”) filed by Complainant Simple Forwarding, Inc. (“Simple Forwarding” or the “Claimant”) against a non-existent entity (“CULines”), and served by the Federal Maritime Commission (“FMC” on “Commission”) (on January 4, 2024) on an incorrect entity that is not an ocean common carrier. In short, the entity named in the Complaint does not exist and neither the entity to which the Complaint was mailed nor any affiliate is currently a vessel-operating common carrier as that term is defined in the Shipping Act and FMC regulations. Accordingly, the Commission has not served CUL, and in any event, does not have personal jurisdiction over CUL.

ARGUMENT

A. Standards for Motions to Dismiss

Although the FMC Rules do not expressly provide for a motion to dismiss, it is well established that litigants before the Commission may bring such motions pursuant to the Federal Rules of Civil Procedure, as applicable to Commission proceedings pursuant to 46 CFR § 502.12. *See, e.g., YSN Imports Inc. v. Oberlander*, Docket No. 21-02, 2021 WL 2935838 at 2 (ALJ) (slip op. July 7, 2021); *Carlstar Group LLC v. UTI United States, Inc.*, Docket No. 17-08, 1 F.M.C. 2d 103 (ALJ) (2018). As Chief Judge Wirth explained in *YSN Imports*, “the Commission looks to Federal Rule of Civil Procedure 12(b)(1) when considering dismissals based on lack of subject matter jurisdiction, and to Rule 12(b)(6) when considering dismissals for failure to state a claim.” *YSN Imports*, 2021 WL 2935838 at *2-3 (citing *MAVL Capital v. Marine Transport Logistics*, Docket No. 16-16, 2020 WL 6445041 at *6 (F.M.C. 2020))

In a motion to dismiss for lack of jurisdiction, a respondent can either make a facial attack on jurisdiction – in which case well-pleaded allegations are assumed true – or a factual attack – in which case the allegations in the complaint are not assumed but must be supported by evidence. As the Commission has explained,

“With regard to motions to dismiss a complaint for lack of subject matter jurisdiction under 12(b)(1), such motions may assert either a factual attack or a facial attack to jurisdiction A factual attack challenges ‘the existence of subject matter jurisdiction in fact, irrespective of the pleadings, and matters outside the pleadings, such as testimony and affidavits, are considered.’ In a facial attack, on the other hand, the court examines whether the complaint has sufficiently alleged subject matter jurisdiction.” *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, 32 S.R.R. 126, 136 (FMC 2011) (quoting *Sinaltrainal v. Coca-Cola Company*, 578 F.2d 1252, 1260 (11th Cir. 2009)).¹

¹ *See also Carlstar Group LLC v. UTI United States, Inc.*, Docket No. 17-08, 1 F.M.C. 2d 103 at 116 (ALJ 2018); *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2020 WL 6445041 at *6 (ALJ 2017).

This Motion, which is supported by the verification of Ashley Xu, makes a factual attack on jurisdiction.

B. The FMC Did Not Serve CUL²

Service in this case was purportedly effectuated by mail addressed to China United Lines Limited, which is a Shanghai-based company and *not* now or ever a vessel operating common carrier. C.U.LINES LIMITED, a Hong Kong-based company, is the entity that was *formerly* (but not currently) a vessel-operating common carrier under the FMC regulations, but it was not served with the Complaint. “CULines,” to which the Complaint is purportedly directed, is not an entity at all, as far as CUL knows. Thus, no service has yet been effectuated.

Furthermore, it is not possible to serve C.U.LINES LIMITED by mail, because it is not an entity regulated by the FMC, as discussed below. Thus, service on C.U.LINES LIMITED, a foreign company not regulated by the FMC, is possible, if at all, only through the *Hague Convention on the Service Abroad of Judicial and Extrajudicial Documents in Civil or Commercial Matters*.

C. The FMC Lacks Personal Jurisdiction over CUL

The FMC’s regulatory jurisdiction extends only to certain types of entities (often referred to as “regulated entities”). Those are “Ocean Common Carriers,” also known as vessel-operating common carriers “Marine Terminal Operators,” “Non-Vessel Operating Common Carriers,” and “Ocean Freight Forwarders.” Of these, the Complaint alleges only that CUL is an “ocean common carrier.” [Complaint ¶¶ II(A), III(C)]³ But as demonstrated below, CUL is not currently an ocean common carrier as defined in the Shipping Act. Neither CUL nor any affiliate is shown as a current

² Although it is irrelevant because CUL is not properly a party, it would not in any event consent to the informal procedure under Subpart [S].

³ The Complaint does not (and could not) allege that CUL is any other type of regulated entity.

ocean common carrier in the list of VOCCs on the FMC website. Nor do any of them have a current organization number. Accordingly, the FMC lacks personal jurisdiction over CUL.

Both the Shipping Act and the FMC regulations define an ocean common carrier as a “common carrier” that operates the vessels by which transportation is provided. In particular, as stated by the Shipping Act, a “common carrier” is:

“[A] person that (1) holds itself out to the general public to provide transportation by way of passengers or cargo between the United States and a foreign country for compensation, (ii) assumes responsibility for the transportation from the port or point of receipt to the port or point of destination; and (iii) uses, for all or part of that transportation, a vessel operating on the high seas or the Great Lakes between a port in the United States and a port in a foreign country.” 46 U.S.C. § 40102(7); see 46 C.F.R. 520.2.

Thus, in order to be a common carrier, an entity must meet all of the following requirements;

- It must hold itself out to the general public to provide transportation of cargo by water between the United States and a foreign country;
- It must assume responsibility for the transportation of cargo from origin to destination; and
- It must use a vessel operating on the high seas to provide such transportation.

And in order to be a Vessel-Operating Common Carrier, the entity must actually operate the vessels used to provide service in the U.S. foreign trades.

CUL does not currently provide **any** transportation services in the U.S.-foreign trades. As confirmed by the verification of Ashley Xu:

- CUL does not currently hold itself out to the general public to provide transportation of cargo by water between the United States and a foreign country for compensation.
- CUL used to provide transportation service in the U.S. but no longer does.
- CUL does not currently assume responsibility for the transportation of cargo to or from any U.S. ports.

- CUL does not currently operate any vessels by which U.S.-foreign transportation is provided.

Accordingly, the FMC lacks personal jurisdiction over CUL.

D. Claimant Is Not a “First Purchaser”

Assuming *arguendo* that service were to be properly effectuated, the FMC would nevertheless need to dismiss this matter because the Claimant is not a “first purchaser” with respect to CUL, having never made any payment to CUL. Although lack of service and jurisdiction both preclude the FMC from adjudicating the substance of the Complaint, as shown above, CUL notes for reference that the Complaint would in any event need to be dismissed as to CUL with respect to reparations, because Simple Forwarding did not pay CUL directly and so is not a “first purchaser” entitled to seek reparations. *See, e.g., Intermodal Motor Carriers Conference v. OCEMA*, 2024 WL 641501 (F.M.C.) (FMC 2024); *TCW, Inc. v. Evergreen Shipping Agency (AM) Corp.*, 2022 WL 18068977 (F.M.C.) (FMC 2022); *In re Vehicle Carrier Services*, 1 FMC 2d 440 (FMC 2019); *Gov’t of Guam v. Sea-Land Serv., Inc.*, 29 S.R.R. 894 (ALJ, Admin. Final 2002).

CONCLUSION

For the foregoing reasons, the Complaint must be dismissed with respect to Specially Appearing Respondent CUL.

Dated June 28, 2024

Respectfully submitted,



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C.U.LINES LIMITED

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VERIFICATION

I declare under penalty of perjury that the facts stated in the foregoing Motion to Dismiss are true and correct as of the date stated below to the best of my knowledge.

For C.U.LINES LIMITED:

By: Ashley Xu

Date: 06.27.2024

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CERTIFICATE OF SERVICE

I certify that on this 28th day of June, 2024, a true and correct copy of the foregoing **VERIFIED MOTION TO DISMISS FOR LACK OF SERVICE OR JURISDICTION** was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

REPRESENTATIVE FOR COMPLAINANT:

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